

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02316

Report ID:	AR-02316
Audit Type:	Procurement Compliance Audit
Report Date:	October 25, 2025
Audit Period:	2025-03-08 to 2025-10-08
Lead Auditor:	Chelsea Browning (EMP-10676)
Reviewed By:	Patrick Matthews (MGR-7209)
Primary Vendor Reference:	VoltEdge Solutions Inc (VND-02775)
Subject Employee Reference:	Chelsea Payne (EMP-43602)
Primary Transaction Reference:	TXN-773410
Overall Risk Rating:	CRITICAL

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2025-03-08 to 2025-10-08 and focused on transactions and approvals associated with vendor VoltEdge Solutions Inc (VND-02775). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **CRITICAL** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-773410 (amount 76,224.67 INR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-000736	MEDIUM	EXPIRED COMPLIANCE	Vendor VND-VND-02709 received payment of \$208,672 on 2023-08-04. Compliance certificate expired on 2021-02-06 — 261 days prior.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-000103	TRANSACTION RECORD	EVD-BEM-3243	0.73
EVI-001396	TRANSACTION RECORD	EVD-TKR-0025	0.73
EVI-001443	HR RECORD	EVD-LZK-0942	0.51
EVI-004838	CONTRACT RECORD	EVD-RDQ-5346	0.81
EVI-005034	APPROVAL RECORD	EVD-FZG-1066	0.83
EVI-007870	APPROVAL RECORD	EVD-GWV-3983	0.52

5. RECOMMENDATIONS

- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Chelsea Browning	EMP-10676	2025-10-25
Reviewing Officer	Patrick Matthews	MGR-7209	2025-10-27